

So you had a mental stop point equivalent to your starting account level.

Absolutely. I was not going to allow myself to go into a loss. It's hard to explain, but because I had lost money that I never had in my hand, it didn't feel as bad. But if I had lost my savings, that would have been a catastrophe.

It's quite good that you had the discipline to get out because if you had stayed in, you probably would have lost all your money.

Oh, yes, in another two days I would have lost it all. The conclusions I drew from losing all my profits were: First, I didn't know what I was doing, and second, I really wanted to know what I should be doing. I also realized that trying to make money out of big macro moves was a mug's game. I thought that I would have a much better chance of beating the market if I focused on companies, which I obviously couldn't do as long as I stayed in my accounting job. I had always planned to resign once I qualified as an accountant, and that's what I did. I started applying for jobs three months before my three years were up, and I was very lucky to get a job as an analyst for Baring Asset Management.

I joined Barings as a junior equity analyst in their emerging markets team. I was assigned to the Eastern European group. At the time, 1994, the Eastern European markets were in their infancy. By the time I joined Barings, I had been following markets for three years. I had decided 18 months earlier that trading was something that I really wanted to do because I had finally found something that really excited me. I was extremely motivated and had done lots of study on my own on how to analyze companies.

My immediate boss, Rory, had an IQ that was way up there, and I learned a lot from him. His intellect, however, often got in the way of his investing. If he was bullish on a stock for 10 reasons, he could always think of nine reasons to be bearish, which would cloud his mind to such a degree that he would end up not buying it. Rory was the quintessential Englishman; he was very reserved. Rory's boss, Nancy, on the other hand, was a very extroverted, hard-driving American who was in charge of Barings's Eastern European investment group.